Meta ECM and DCM financing case

Tobenna Agubuche | 27 October 2026 | Priced terms, before expected closing

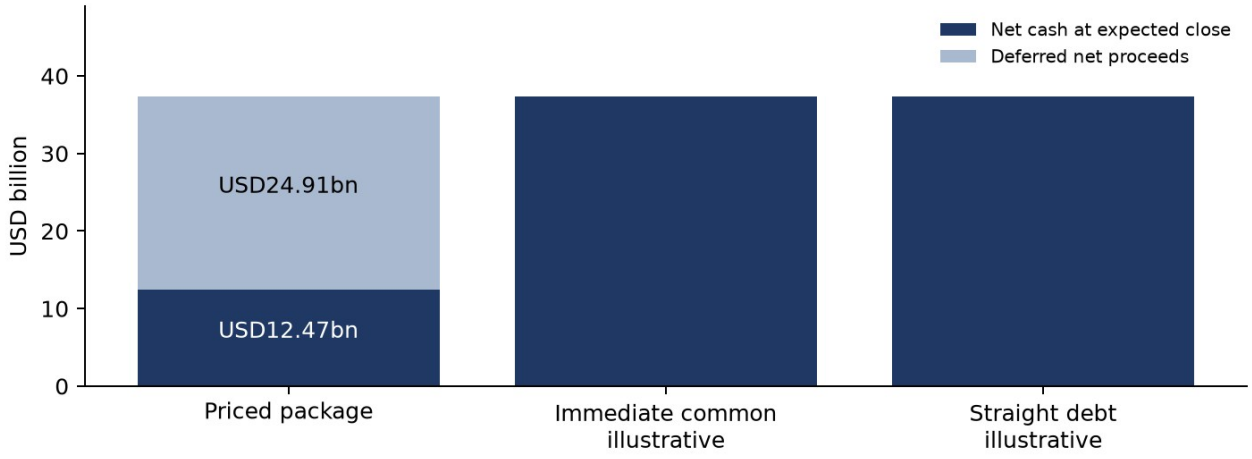
Accept the equity-led package for staged investment. The USD37.5bn priced package provides about USD12.47bn at expected closing in this model. About USD24.91bn arrives later, at physical settlement of the common-share forwards. Match spending to cash receipts or arrange bridge funding. The planned USD60bn Class C ATM is excluded from available funding. This is a financing recommendation, not a view on Meta's shares. [1,2]

AI infrastructure funding

Meta is funding a large AI infrastructure programme while changing its equity capital structure. Its Q3 release guides to USD135-145bn of 2026 capex, including finance-lease principal. Nine-month free cash flow was USD11.05bn, after USD85.82bn capex. [2,3]

Cash raised and cash available

Financing item	Base model
Preferred gross / assumed net proceeds	USD12.50bn / USD12.475bn
Common gross / deferred net proceeds	USD25.00bn / USD24.907bn
Share of eventual net proceeds deferred	66.6%
Preferred annual cash dividends, if paid	USD812.5m
Bridge cost to 19 Nov 2027, after assumed tax	USD1.24bn



The common offering was upsized from USD22.5bn to USD25bn. Its 40m shares are sold at USD625 through forward sellers. Meta initially receives no proceeds from that sale. The initial forward price is approximately USD622.92, before further contractual adjustments and expenses. The model assumes one physical settlement on 19 November 2027, the latest expected settlement date. [1]

Preferred proceeds use a 20bp fee proxy. Forward expenses are assumed at USD10m, with zero base forward-price adjustment. These are not verified underwriting terms. A 5.5% bridge on the deferred amount costs USD1.45bn interest plus USD125m fees before tax. No bridge is claimed to exist. The overlay assumes all eventual proceeds are needed immediately.

Compare the funding alternatives

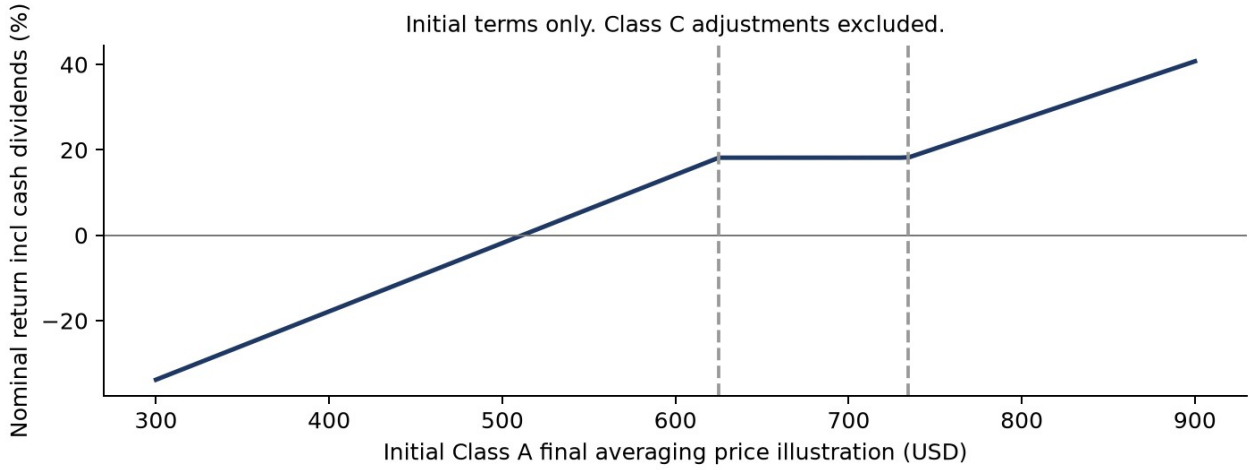
Same USD37.38bn eventual net funding	Equity-led package	Immediate common	Straight debt
Cash at expected close, USDbn	12.47	37.38	37.38
Annual assumed financing cash charge, USDm	812.5	0	1632.4
Debt principal repayable in year 5, USDbn	0	0	37.57

The hypothetical debt has a 5.5% coupon, 50bp issuance costs and a 21% usable tax shield. It requires USD37.57bn face value and has a 5.62% effective yield including fees. Coupon and valuation yield are assumptions, not trading quotes. Preferred dividends have no assumed tax deduction. Immediate common needs 60.01m shares at USD625 after assumed fees. [4]

Annual cash charges exclude common dividends and the opportunity cost of equity. The package and bond have different horizons and terminal obligations. This comparison does not establish the lowest total cost of capital. Static issue-only balance sheets reconcile proceeds retained as cash; they do not forecast capex deployment or Meta's future liquidity.

Preferred equity carries downside risk

The 250m depositary shares represent 12.5m preferred shares. On initial Class A terms, conversion rates of 1.3620-1.6000 imply 17.025m-20.000m common shares. The model illustrates the standard fixed-value middle band between USD625 and USD734.21, rounding rates to four decimals. Final prospectus confirmation remains required. [1]



At illustrative averaging prices of USD400 / USD625 / USD850, nominal investor returns including assumed cash dividends are -17.8% / +18.2% / +33.9%. The initial-terms price required to meet an assumed 8% annual return is USD763.24. This deterministic hurdle is not an option valuation or a market forecast.

Evidence required before execution

- Model the Class C transition, stock dividend and anti-dilution adjustments before quoting actual 2029 dilution or voting effects. The initial Class A schedule is a mechanism illustration only.
- Confirm final underwriting fees, dividend day count, forward carry, stock-borrow adjustments, settlement alternatives and accounting classification. All dividends are assumed declared and paid in cash on an approximate 30/360 schedule.
- Verify spending dates, liquidity restrictions and financing capacity. Reported liquid resources of USD82.45bn include securities and are not added to issuance proceeds. Options and the conditional ATM are excluded. [1-3]

Sources: [1] Meta pricing release, IR page dated 27 Oct 2026 (release dateline 26 Oct). [2] Meta launch release, 26 Oct 2026. [3] Meta Q3 results, 21 Oct 2026, September balance sheet and cash-flow reconciliation. [4] Meta June 2026 10-Q Note 8: historical own-note coupons only, not live comparables. Full links and locators are in the workbook and README.